

Fearnleys Dry Bulk Weekly

May 22, 2024



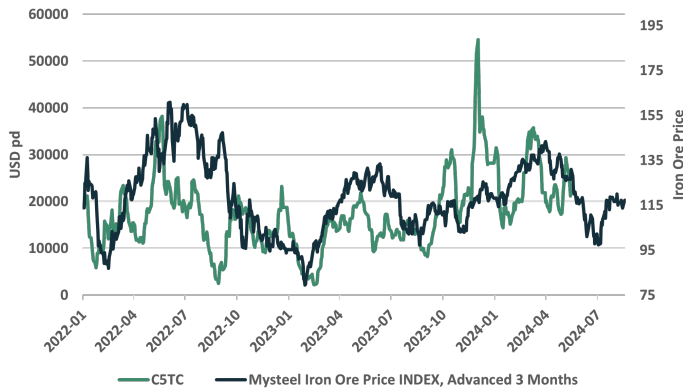
Capesize/Newcastlemax

The count of laden vessels heading to the Far East currently located either in the Atlantic or Indian Ocean have increased notably the last month.

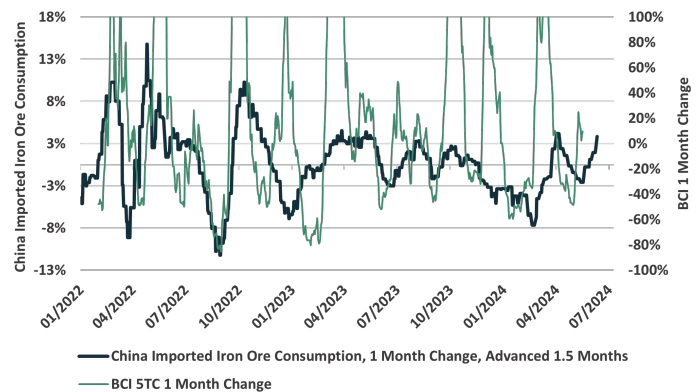
The count was similar in mid-April, mid-January and through most of Q4 last year. Market levels should therefore continue to be strongly supported in the high teens going forward.

Imported iron ore consumption in China continues to rise, and basis the usual lead this has on the Capesize market one could expect a rally to materialize in June. The iron ore price lead suggests the market will bottom in June, and rally into July.

Iron Ore Price, Moved 3 Months Forward vs Capesize 5TC



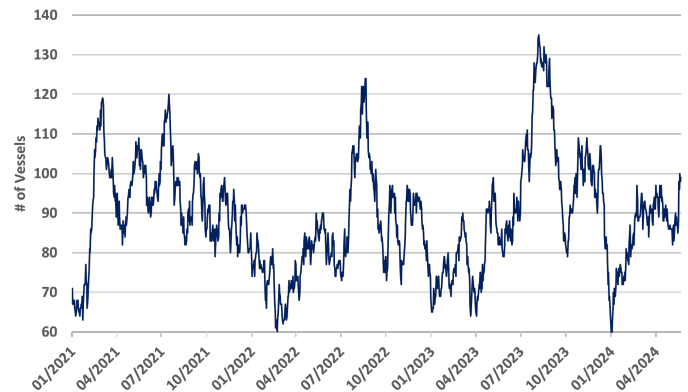
China Imported Iron Ore Consumption, 1 Month Change, Moved 1.5 Months Forward vs Capesize 5TC 1 Month Change



Capes/Newcs Heading to or in Australia



Capes/Newcs Heading to or in Brazil



Panamax/Kamsarmax

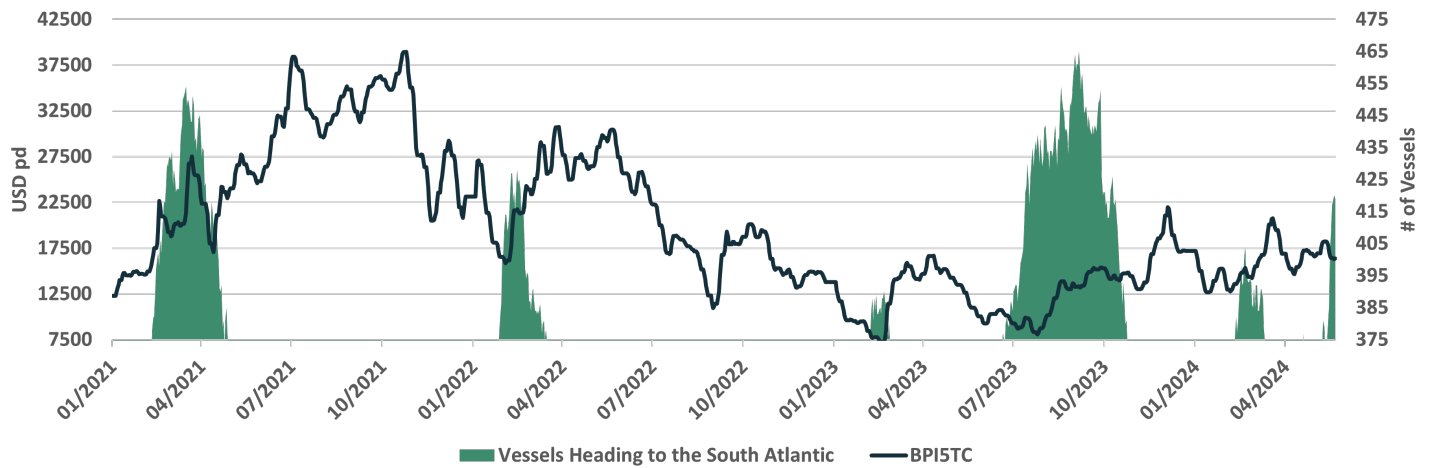
Bullish development in AIS data the last two weeks, as the count of vessels heading to or in the South Atlantic have risen to 420 vessels.

The below chart shows the BPI82 index against the count of vessels heading to or in the South Atlantic exceeding 375 vessels. The last four years, the market has rallied each of the five times following this development. The rallies have ranged from +33% to +100%, and it took between 2 and 4 weeks for each of the rallies to materialize.

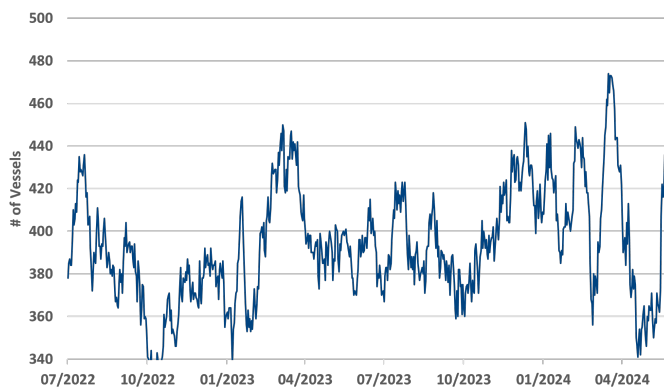
The above is supported by macro indicators and average market seasonality. So, it looks like the third quarter is likely to average higher than the second.



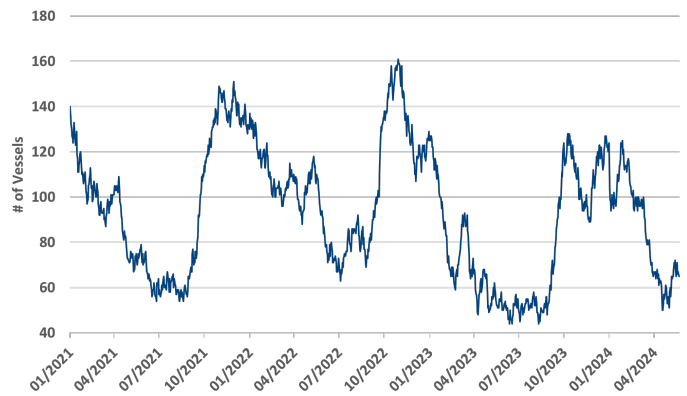
Panamax/Kamsarmax Heading to or in the South Atlantic Exceeding 375 Vessels vs BPI82 5TC



Panamax/Kamsarmax Heading to or in IDN, AUS or RUS (Pac)



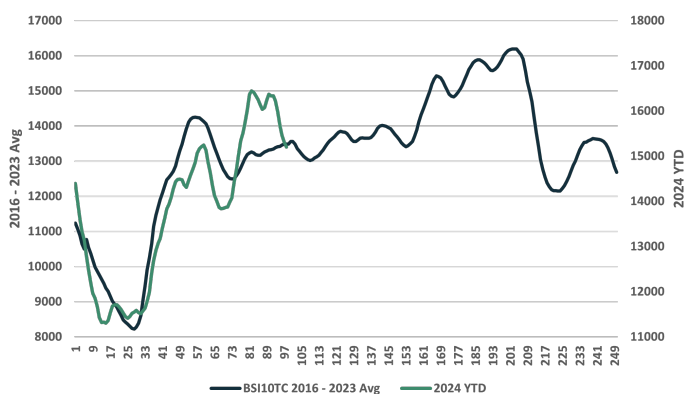
Panamax/Kamsarmax Heading to or in the US



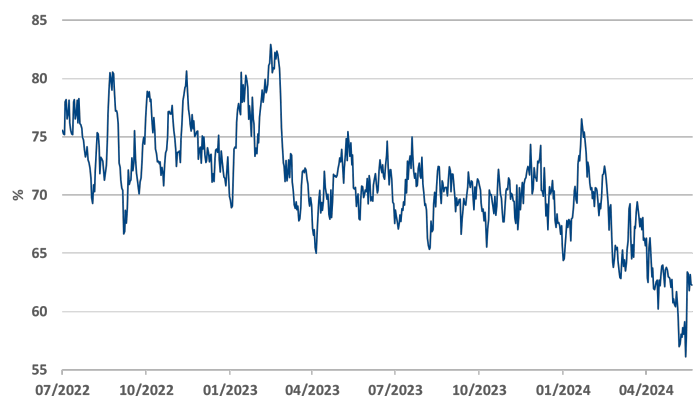
Supramax/Ultramax

In view of the outlook for the larger segments, average market seasonality, leading macro indicators and strong fundamental data, it is hard to expect anything else than year-to-date highs in the third quarter. Seasonality suggest the market might continue to bump around within a 15.000 - 16.000 USD per day range the next two months before another rally. However, we think a rally will materialize within the next month.

Supramax Seasonal Market Movement

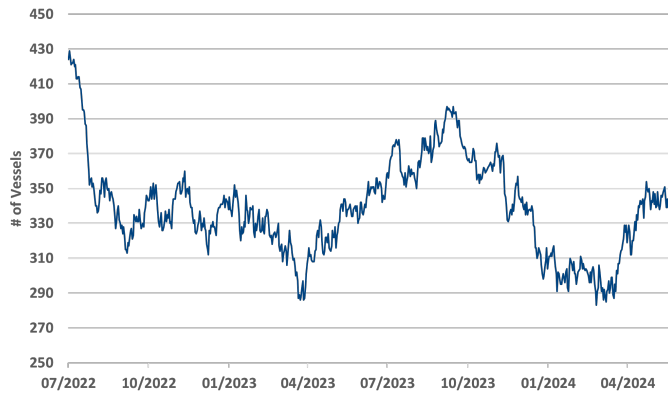


Supramax / Ultramax Ballaster /Laden Vessel Ratio

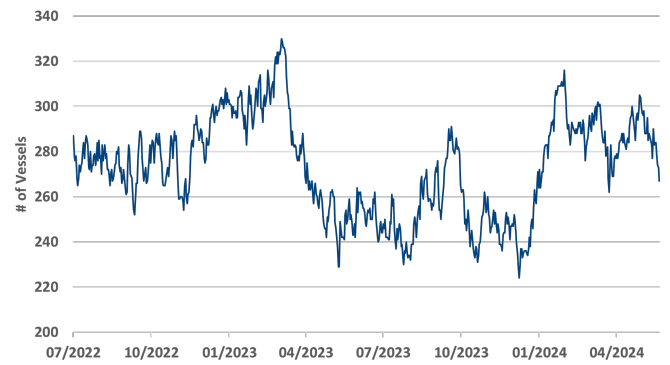




Supramax / Ultramax Heading to or in the South Atlantic



Supramax / Ultramax Heading to the North Atlantic / Europe Continent





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